

Corvid Power

Every valuation technique Halima Nasser had been taught assumed the company made money, and Corvid Power had never made money in its life.

Corvid built grid-scale battery storage systems — containerized lithium iron phosphate installations sold to utilities and independent power producers under long-term capacity contracts. Revenue in 2025 was \$1,250 million, up 61 percent. Operating loss was \$500 million. The company had \$980 million of cash, \$1,600 million of convertible debt, and 520 million shares outstanding. The stock closed at \$2.05, which put the market capitalization near \$1,067 million and made the enterprise value roughly \$1,687 million.

Nasser covered the name at a long-only fund and had been asked for a written view by the end of the month. She had three problems.

The first was that every ratio she normally used was undefined or meaningless. There were no earnings, so no price-to-earnings. EBITDA was negative, so no EV/EBITDA. Price-to-sales was 0.85, which told her that the market thought Corvid was worth less than a year of revenue and nothing at all about why.

The second was the share count. Corvid had funded its losses by issuing stock, and had done so in each of the last four years. The convertible notes, if converted, added 87 million shares. Outstanding employee awards added another 48 million. If the company burned cash for four more years at anything like the current rate, it would issue more. Nasser's model produced a value for the equity; dividing it by 520 million shares would answer a question nobody was asking, because the person buying today would own a smaller fraction of the company by the time the cash flows arrived.

The third was that Corvid had \$1,850 million of net operating loss carryforwards, and her model was cheerfully applying a 24 percent tax rate to operating profits that would not be taxed for years.

Nasser built a ten-year forecast rather than a five-year one, because Corvid did not turn free-cash-flow positive until year six and a five-year model would have capitalized a negative number. Revenue growth fading from 42 percent to 5 percent. Operating margin climbing from negative 40 percent to positive 16 percent as the manufacturing footprint filled and the service attach rate rose. Reinvestment at 9 percent of revenue while the company was building capacity, falling to 6 percent afterward. A cost of capital of 11.5 percent, and terminal growth of 3.5 percent.

The model produced an enterprise value of \$783 million — less than half the enterprise value the market was assigning. Equity value came to \$163 million. Divided by 655 million diluted shares, that was 25 cents.

Nasser did not believe her own number, and she could not find the error.

EXHIBIT 1 — NASSER'S FORECAST (\$ MILLIONS)

YEAR	REVENUE	OPERATING MARGIN	EBIT	TAX	REINVESTMENT	FCFF
1	1,775	(40.0%)	(710)	0	160	(870)
2	2,396	(24.0%)	(575)	0	216	(791)
3	3,091	(12.0%)	(371)	0	278	(649)
4	3,833	(2.0%)	(77)	0	345	(422)
5	4,561	5.0%	228	0	411	(182)
6	5,246	9.0%	472	0	315	157
7	5,823	12.0%	699	0	349	349
8	6,288	14.0%	880	0	377	503
9	6,666	15.0%	1,000	0	400	600
10	6,999	16.0%	1,120	196	420	504

Cost of capital	11.5%
Terminal growth	3.5%
Present value, years 1–10	(\$1,413m)
Terminal value at year 10	\$6,520m
Present value of terminal value	\$2,195m
Enterprise value	\$783m
Cash	\$980m
Debt	\$1,600m
Equity value	\$163m
Diluted shares	655m
Value per diluted share	\$0.25
Market price	\$2.05
NOL carryforwards at start	\$1,850m

ASSIGNMENT

- 1 The present value of the terminal value is \$2,195 million and the enterprise value is \$783 million, so the terminal value is 280 percent of the enterprise value. Explain how that is possible and whether it is a red flag.
- 2 Trace the NOL carryforward through the forecast. In which year does Corvid first pay cash tax, and what is that shield worth in present value?
- 3 Nasser's equity value per diluted share is 25 cents against a market price of \$2.05. Run the model in reverse: holding everything else fixed, what terminal operating margin justifies the market price?
- 4 Corvid will need to fund \$2,914 million of cumulative negative free cash flow before it turns. It has \$980 million of cash. How should that gap appear in your valuation — as debt, as dilution, as a probability of failure, or as something else? Take a position.
- 5 Nasser cannot find the error in her model. Is there one?